
ALI SHIRAZI

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APPOINTMENT

JULY 2022 Assistant Professor of Finance (Tenure Track), Saint Mary's University, Sobey School of Business

EDUCATION

- **HEC Montréal** **2022**
PhD in Finance
- **Concordia University** **2015**
MA in Economics
- **University of Tehran** **2006**
BA in Economics

WORKING PAPERS

2025 **Too Big to Diversity: Market Concentration and the Pricing of Corporate Bonds** , with Alexandre Jeanneret

This paper shows that concentration risk—the vulnerability arising from the dominance of a few corporate giants—is priced in corporate bonds. We construct a monthly concentration index from the asset share of the largest U.S. firms and estimate bond return sensitivities to its innovations. Rising concentration amplifies the transmission of firm-specific shocks, undermines issuer diversification, and heightens stress in fixed-income markets. Bonds that underperform more when concentration increases are compensated with higher subsequent returns. Our findings identify the distribution of firm size as a novel macro-structural source of priced risk, with important implications for portfolio allocation and financial stability.

2023 **Equity Prices in a Granular Economy**, with Harjoat Bhamra, Christian Dorion & Alexandre Jeanneret

This paper studies the asset pricing implications of a granular economy. When some firms are more like 'grains' than atoms, shocks to such firms are not diversified away. We show in a multiple-firm model that the properties of the conditional CAPM change as the economy becomes more granular, i.e. when the largest firms represent a greater share of the economy. The slope of the Security Market Line (SML) decreases with granularity, thereby explaining the relatively 'flat' SML observed unconditionally. A direct implication is that the performance of the betting-against-beta strategy is particularly high when granularity increases, while it is low otherwise. We provide empirical support for these predictions for the U.S. stock market over the period 1973-2020. In addition, we find that the exposure to granularity is priced negatively in stocks, consistent with the view that more granularity increases aggregate risk and reduces diversification.

PRESENTED AT Northern Finance Association Annual Meeting (2020)*, Université Laval (2020)*, HEC-McGill Winter Workshop (2020)*, Saint Mary's University (2022), The University of Queensland (2023)*, The Australian National University (2023)*, European Finance Association Annual Meeting (2023), Financial Management Association Annual Conference (2023), Black Rock Investment (2025).

*Presented by co-author.

WORK IN PROGRESS

2025 **Market Concentration and Equity-Bond Correlation**

TEACHING

ROLE **Instructor**

2025 *Theory of Asset Pricing (PhD), SMU*
Financial Econometrics (PhD directed Studies) , SMU
Fixed Income Securities (Master of Finance) , SMU
Business Finance I (B.Comm), SMU

2024 *Theory of Asset Pricing (PhD), SMU*
Fixed Income Securities (Master of Finance) , SMU
Business Finance (MBA) , SMU
International Financial Management (B.Comm) , SMU

2023 *International Financial Management (B.Comm) , SMU*
Fixed Income Securities (Master of Finance) , SMU
Business Finance (MBA) , SMU

2022 *Business Finance (B.Comm) , SMU*

2021 *Futures and Options (B.Comm), HEC Montréal*

2011-2013 *Capital Budgeting (B.A Economics), University of Tehran*

ROLE **Co-Instructor & Teaching Assistant**

2021 *Derivatives Pricing (M.Sc.), HEC Montréal*

2020 *Market Risk Management (M.Sc.) , McGill University*

2018 *Financial Econometrics (M.Sc.), Corporate Finance (B.Com.), HEC Montréal*

SCHOLARSHIPS & AWARDS

2022 New Faculty Research Fund. 25,000 CAD
Saint Mary's University

2022 The Faculty of Graduate Studies and Research. 5,000 CAD
Saint Mary's University

2021 The Bank of Canada Graduate Student Paper Award (*runner-up*). 1,000 CAD
By The Bank of Canada

2020 SSRCH Doctoral Fellowship. 20,000 CAD
By Social Sciences and Humanities Research Council

2020 Travel Grant . 750 USD
By American Finance Association

2019 Pierre Arbour PhD Scholarship . 17,000 CAD
By Pierre Arbour Foundation

2019 Hydro Québec PhD Scholarship . 20,000 CAD
By Hydro Québec

2018	Jean-Louis Mercier PhD Scholarship . 6,000 CAD <i>By Jean-Louis Mercier</i>
2016-20	PhD Admission Scholarship. 80,000 CAD <i>By HEC Montréal</i>
2015	Graduation Excellence Award. 2,000 CAD <i>By Concordia University</i>

DISCUSSIONS

2024	Discussion of <i>Two Trees with a Gardener: Asset Pricing with Real Capital Flows</i> by Sebastien Betermier, Laurent Calvet, Evan Jo, and Johan Walden. Junior Faculty Conference, McGill University, Montreal, Canada.
2022	Discussion of <i>Learning about the consumption risk exposure of firms.</i> by Yongjin Kim, Lars Alexandre Kuhen, and Kai Li. Northern Finance Association Conference in Banff, Canada.
2021	Discussion of <i>Is idiosyncratic risk priced? The international evidence.</i> by Paul Brockman, Tao Gou, and Maria Vivero, and Wayne Yu. World Finance Conference. Online.

REVIEW COMMITTEES

2024	Northern Finance Association, Midwest Finance Association
2023	Northern Finance Association
2022	Midwest Finance Association

PROFESSIONAL EXPERIENCE

2021	Society of Financial Econometrics (SoFiE) Summer School Kellogg School of business. Chicago, Illinois, USA (Virtual)
2019	Society of Financial Econometrics (SoFiE) Summer School Kellogg School of business. Chicago, Illinois, USA.
2018	Academic Writing Workshop HEC Montréal
2018	CEAR-RSI Household Finance Workshop Hotel Saint Sulpice. Montréal, Canada.

OTHER

SERVICE	Strategic Planning Committee (Sobey School of business). Academic Program Review Committee (SMU) Certificate in Data Analytics Committee (SMU) EDIA Committee (SMUFU)
CITIZENSHIP	Canadian, Iranian
LANGUAGES	English (Fluent), French (B2), Arabic (Fluent), Persian (Native).
SOFTSKILLS	MATLAB, Python, SAS, L ^A T _E X
CERTIFICATE	CFA Level I passed, <i>June 2015</i>